

Done!

Cambridge
International
AS & A LevelCambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level**ECONOMICS**

Paper 1 Multiple Choice

9708/11**May/June 2017****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.



Zarak mushtaq

Solved with reasons!

This document consists of **12** printed pages.

* Unlimited wants

↓
Limited resources

↓
scarcity

↓
choice

↓
opportunity cost

1 What must follow when scarcity exists?

- ☒ A Consumers have to make choices.
- ☐ B Governments are unable to supply public goods. (No)
- ☐ C Producers must be misallocating resources. (No)
- ☐ D Workers must be earning low wages. (No)

(Price mechanism)

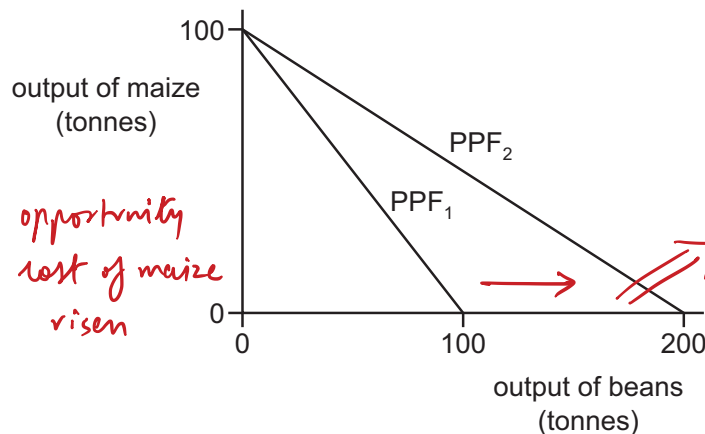
2 What is likely to be introduced in the market for bus travel if an economy moved from a mixed economy to a market economy?

- ☒ A allowing companies to bid for bus routes [The route which is profitable] [Signalling]
- ☐ B free bus travel for school children (Mixed economy) (Public sector exists)
- ☐ C maximum prices for bus travel (Mixed economy) (Public sector exists)
- ☐ D subsidies to bus operators (Mixed economy) (Public sector exists)

3 The diagram shows that the production possibility frontier of maize and beans has changed from PPF₁ to PPF₂.

Earlier
Maize : Beans
100 : 100
1 : 1

Now
Maize : Beans
100 : 200
1 : 2



Productivity or efficiency of Beans increased
↓
Returns to factors ↑

What has happened to the opportunity cost of maize and the returns to factors producing beans?

	opportunity cost of maize	returns to factors producing beans
☐ A	fallen	fallen
☐ B	fallen	risen ✓
☐ C	risen ✓	fallen
☒ D	risen ✓	risen ✓

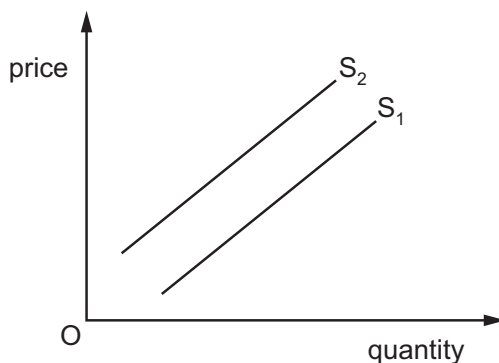
(Price attached)
Private good

3

- 4 An individual buys a ticket to visit a government-owned art gallery. → Education (External Benefit)
How would this visit be classified by an economist?

- A private and demerit good (No)
☒ B private and merit good
 C public and demerit good (No)
 D public and merit good (No)

- 5 The diagram shows a shift in a firm's supply curve from S_1 to S_2 . ↓



What may have caused the shift from S_1 to S_2 ?

- A a decrease in the costs of production of the firm (Supply ↑)
 B a decrease in the popularity of the firm's product (Demand ↓)
☒ C a decrease in the subsidy on the good (cost ↑, supply ↓)
 D a decrease in the tax on the good (cost ↓, supply ↑)

[P ↓ QD ↑]

- 6 A change in the price of a good causes an increase in the quantity of the good demanded.

What would be the nature of the good and the direction of price change for this to be certain to happen?

	nature of good	price change
A	inferior	fall ✓
B	inferior	rise
☒ C	normal ✓	fall ✓
D	normal ✓	rise

* Normal goods
High quality

Elastic nature

Prices decrease, greater response

* Inferior good, relatively low quality, mostly low priced

* Elastic demand, luxurious nature of goods,
larger proportion of income taken

4

* Greater responsiveness
due to availability of close
substitutes ↑

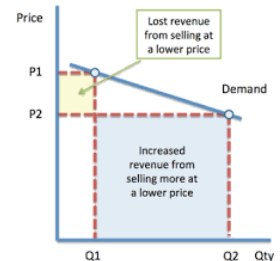
7 Which combination is most likely to result in the demand for a product being highly price elastic?

	number of close substitutes	% of income spent on product
☒ A	large ✓	large ✓
☐ B	large ✓	small
☐ C	small	large ✓
☐ D	small	small

Elastic Demand ($Ped > 1$)

If the co-efficient of price elasticity of demand > 1 , then demand is said to be price elastic i.e. highly responsive to a change in price

- If demand for a product is price elastic, a supplier stands to gain extra revenue if they reduce their prices.
- The change in quantity demanded will be proportionately higher than the reduction in price. This is shown in the diagram opposite.



8 A manufacturer increases the price of his product from \$4 in an attempt to increase total revenue.

The table shows the outcome of the policy.

$$TR = P \times Q$$

$$400 = 4 \times Q$$

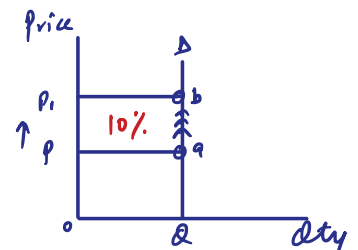
$$500 = 5 \times Q$$

$$600 = 6 \times Q$$

price (\$)	total revenue 000's (\$)
4 ↑	400 ↑
5	500
6 ↑	600 ↑

Qty ⇒ Unchanged

100
100
100
Perfectly inelastic demand



What is the price elasticity of demand for the product?

- A perfectly elastic (unchanged price)
☒ B perfectly inelastic (same % Δ in price and TR/TE)
 C relatively elastic (Price and revenue, negative relationship)
 D relatively inelastic (Price and TR, +ve relation, but not same % Δ)

9 A firm establishes that the price elasticity of supply of its product has a value of 0.3. [$PES < 1$]

What is likely to be true about the firm?

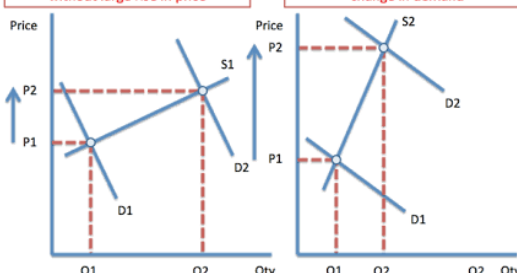
- A It has unused productive capacity. (More responsiveness)
 B It has unsold stock of its product. (More responsiveness)
☒ C It uses a high proportion of perishable raw materials. (Low responsiveness)
 D It uses factors of production that are easily substituted. (More responsiveness)

Inelastic Supply

Elastic and Inelastic Supply Curves

Elastic supply: $Pes > 1$
Change in demand can be met without large rise in price

Inelastic supply: $Pes < 1$
Supply relatively unresponsive to a change in demand



* Perishable raw material



Can't be stored



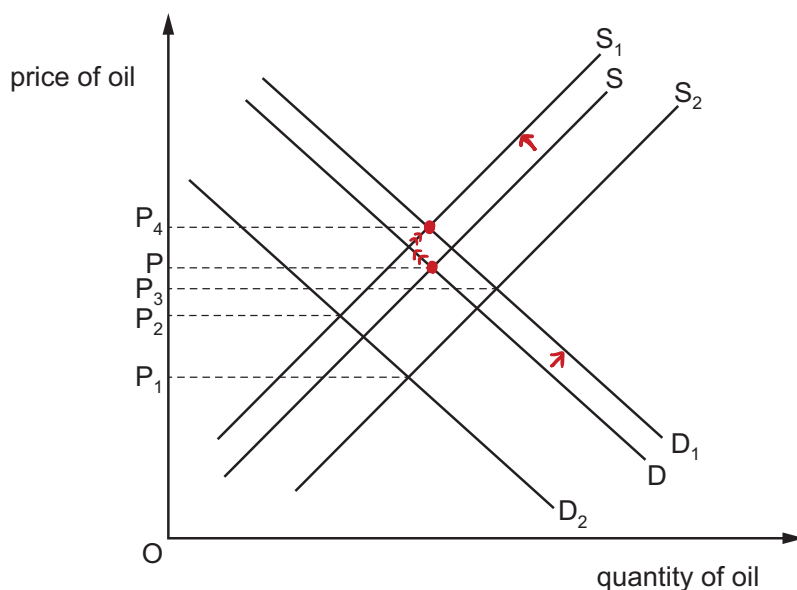
Low responsiveness
to changes in
demand

5

Supply ↓

- 10 There is a reduction in world oil supplies due to war in some supplying countries at a time when the winter in some importing countries was much colder than usual. The diagram shows the original equilibrium price, P .

Demand ↑



What will be the equilibrium price of oil in these circumstances?

- A P_1 B P_2 C P_3 ☒ D P_4

- 11 Good X is a substitute for good Y and a complement to good Z.

What would happen after a fall in the price of good X?

- A Only the demand for X will rise.
 B Demand for X, Y and Z will rise.
☒ C Demand for Y will fall and for Z will rise.
 D Demand for Y will rise and for Z will fall.

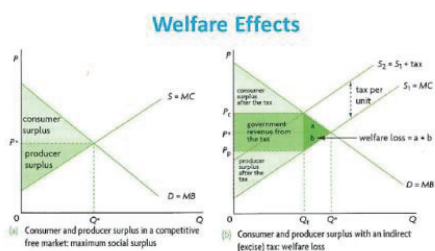
* X and Y (+ve)
 $P \downarrow$ $D \downarrow$
 * X and Z (-ve)
 $P \downarrow$ $D \uparrow$
 * Remember XED

- 12 A government imposes a specific indirect tax on a product.

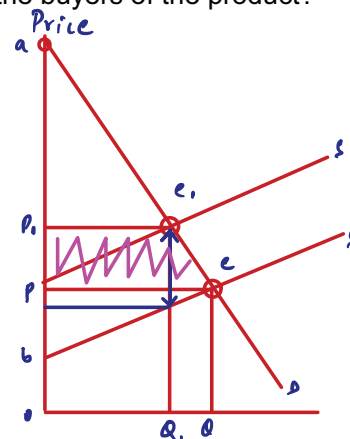
When will the tax cause the greatest reduction in consumer surplus for the buyers of the product?

- A The product has price elastic demand and price elastic supply.
 B The product has price elastic demand and price inelastic supply.
☒ C The product has price inelastic demand and price elastic supply.
 D The product has price inelastic demand and price inelastic supply.

Represents greatest Burden on consumer:-
 Inelastic demand + Elastic supply



* Reduction in C.S :- ePP_1e_1
 * Leftover C.S :- P_1ae_1



Willingness

- 13 The table shows the maximum amount three students would each be willing to pay for a taxi to take them home from a nightclub.

* *Consumer surplus is the difference between the amount which you are willing to pay and the amount you actually pay.*

	\$
Jane	10.00
Sara	8.00
Yasmin	6.00

Assume they share the taxi fare as shown in the table below.

Which shows how much they each should pay so that they each obtain the same consumer surplus?

	Jane <i>W - \$ = C.S</i>	Sara <i>W - \$ = C.S</i>	Yasmin <i>W - \$ = C.S</i>
A	$10 - 2.00 = 8$	$8 - 4.00 = 4$	$6 - 6.00 = 0$
B	$10 - 4.00 = 6$	$8 - 4.00 = 4$	$6 - 4.00 = 2$
C	$10 - 5.00 = 5$	$8 - 4.00 = 4$	$6 - 3.00 = 3$
☒ D	$10 - 6.00 = 4$	$8 - 4.00 = 4$	$6 - 2.00 = 4$

Above Equilibrium

- 14 A government fixes a minimum price for a service.

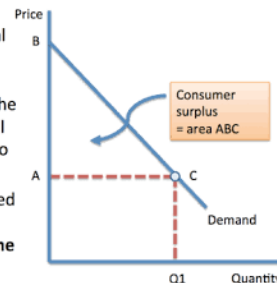
What will be the outcome of such a policy?

- A Demand will fall if the minimum price is below the equilibrium price. (*Back to Equilibrium*)
- B Demand will rise if the minimum price is above the equilibrium price. (*Demand will fall*)
- C Production will fall if the minimum price is above the equilibrium price. (*Production will rise*)
- ☒ D Production will stay the same if the minimum price is below the equilibrium price. (*Yes*)
(*As it will reach back to equilibrium*)

What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

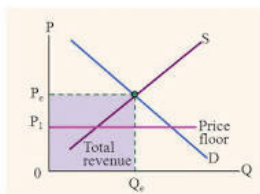
- **Consumer surplus** is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



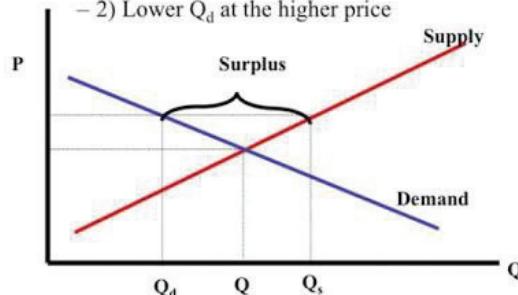
Learning tips 6.3 Ineffective price floor

A price floor is *ineffective* when it is imposed *below* the equilibrium price.

- **No effect** on the price, quantity transacted and total revenue
- **No excess supply**



- **Price Floor** (a minimum price or wage)
- **Creates a surplus** if above equilibrium
 - 1) Greater Q_s at the higher price
 - 2) Lower Q_d at the higher price

*Ineffective!**Effective!*

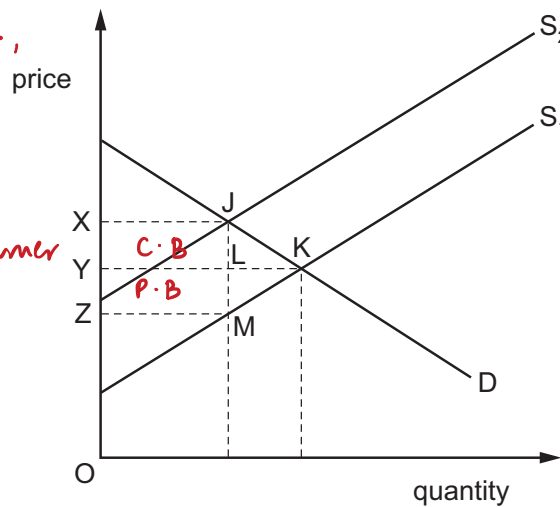
Vertical distance between 2 supply
7 ↑ curves!

15 The diagram illustrates the effects of placing a specific tax equal to JM on a good.

option A:- welfare loss,
loss of consumer and
producer surplus

option B:- loss of consumer
surplus

option C:- consumer
Burden



Which area represents total tax receipts? [consumer Burden + producer Burden]

A JKM

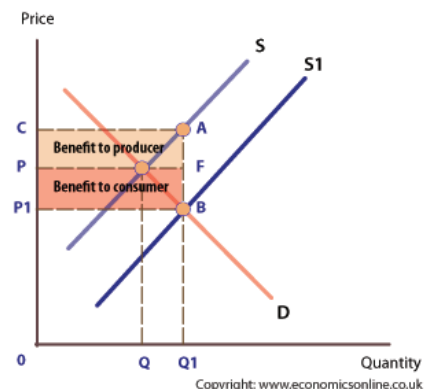
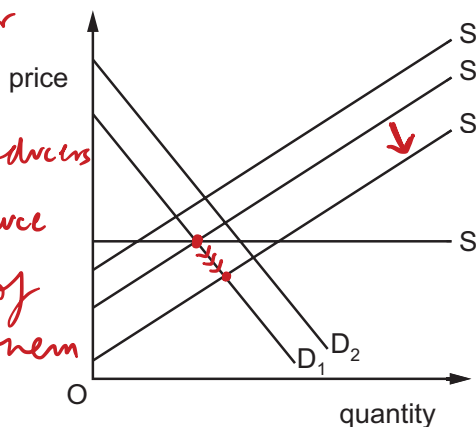
B XJKY

C XJLY

☒ D XJMZ

16 The diagram shows the demand curve, D_1 , and the supply curve, S_1 , for a good.

* Subsidy is a grant or a cash payment given by the government to the producers to encourage them to produce more. This reduces cost of production and encourages them to supply more.



The government decides to pay producers a specific subsidy for each unit supplied to the market.

Which curve shows the new effective demand or supply curve?

A D_2

☒ B S_2

C S_3

D S_4

- 17 Planned government expenditure for the UK in the fiscal year 2016 is estimated at £760 billion. The top five areas of expenditure are given in the table.

A payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy.

A transfer payment, in the United States, is a one-way payment to a person for which no money, good, or service is given or exchanged. Transfer payments are made to individuals by the federal government through various social benefit programs.

	£ billion
<u>pensions</u>	153
healthcare	138
<u>welfare</u>	111
education	89
defence	45
total top five	536

$$153 + 111 = \text{£ } 264 \text{ Billion}$$

Transfer payments are considered to be non-exhaustive because they do not directly absorb resources or create output. Examples of transfer payments include welfare, financial aid, social security, and government making subsidies for certain businesses (firms).

What is the total amount spent on transfer payments shown in the table?

- A £89 billion B £111 billion ~~C~~ £264 billion D £536 billion

- 18 What is likely to occur when the government privatises public sector monopolies?

☒ A Consumer choice will increase.

B Employment will increase in the short run. (It will decrease)

C Innovation will be discouraged. (encouraged)

D The production of public goods will increase. (No)

↳ Focus on profit as it's objective
↓

More consumer oriented
↓

Resource allocation on Basis of demand

- 19 In a closed economy a rise in aggregate demand is needed to increase output in the country.

What is necessary to achieve this increase in output in the economy?

☒ A enough capacity to produce the extra goods and services demanded [AS↑]

B free trade to allow imports to make up any shortages in supply (It's closed economy)

C government spending to be less than tax revenue (AD↓) [G↓ AD↓]

D reduced credit to lower inflation (AD↓)

When AD↑

multiplier is created

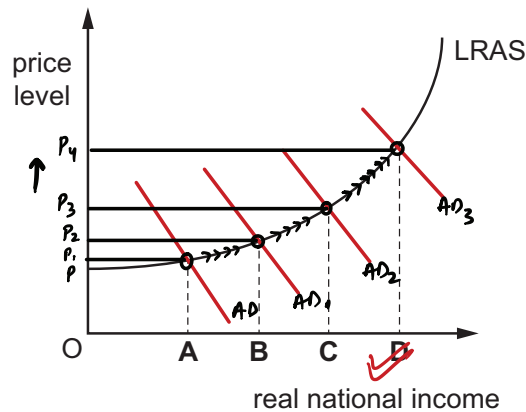
i.e. income, output and employment ↑

So, resources are required,

else hyper inflation

- 20 The diagram shows the long-run aggregate supply (LRAS) curve of an economy.

At which equilibrium level of national income is a balance of trade surplus likely to cause the greatest inflationary increase for the economy?

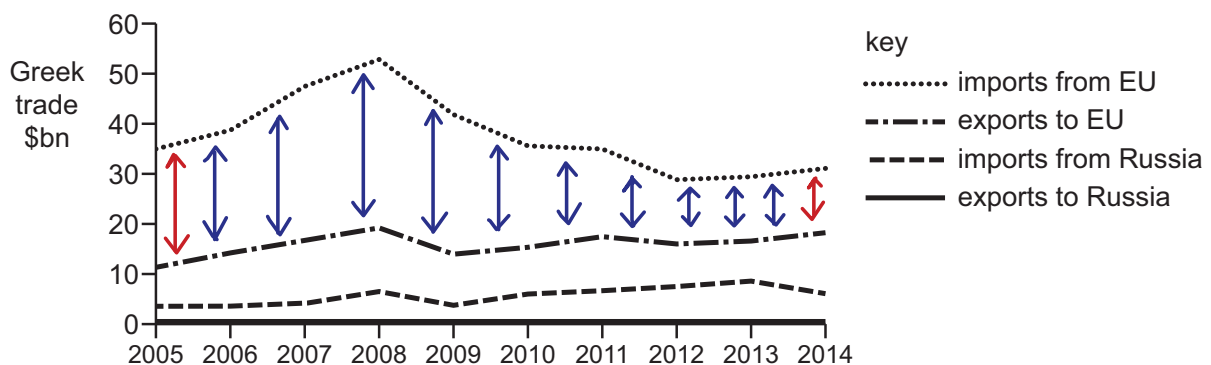


- 21 A government succeeds in changing a current account deficit into a current account surplus. *More payments made* *more payment received*

Why might this current account surplus increase the country's inflation rate?

- ☒ A It raises aggregate demand. $[X(TR) > M(TE)] \Rightarrow NX \uparrow \Rightarrow AD \uparrow = C + I + G + (X - M)$ $\uparrow \downarrow$
- B It raises production costs. $[AS \downarrow \rightarrow \text{no connect to surplus}]$
- C It reduces the exchange rate. *(More payments received, currency appreciates)*
- D It reduces the money supply. *(When $M^s \downarrow$, $r \uparrow$, $AD \downarrow$, inflation controlled)*

- 22 The diagram shows Greece's trade position with the EU and Russia between 2005 and 2014.



What can be concluded about the period 2005 to 2014?

- A Greece's annual trade deficit with the EU rose continuously. *(It reduces)*
- ☒ B Greece's annual trade deficit with the EU was lower in 2014 than in 2005. *(Yes) [↑↓]*
- C Greece's annual trade deficit with the EU fell continuously. *(Rise then fall)*
- D Greece's annual trade deficit with the EU was smaller than its deficit with Russia. *greater*

Appreciation

10

- 23 There is a rise in the exchange rate of the US\$.

Which would cause the greatest increase in the US current account deficit?

- A a high level of domestic unemployment
- ☒ B a high price elasticity of demand for imports
- C a low price elasticity of demand for exports
- D a low rate of domestic inflation

Elastic demand
↓
Decrease in price of imported goods will extend qty demanded by greater percentage.

Appreciation
X prices ↑ M prices ↓
QD ↓ QD ↑
TR ↓ TE ↑
Deficit

- 24 Since 2000 a country's export prices have increased on average by 50% and its import prices by 25%. 125

What is the current figure for the country's terms of trade (2000 = 100)?

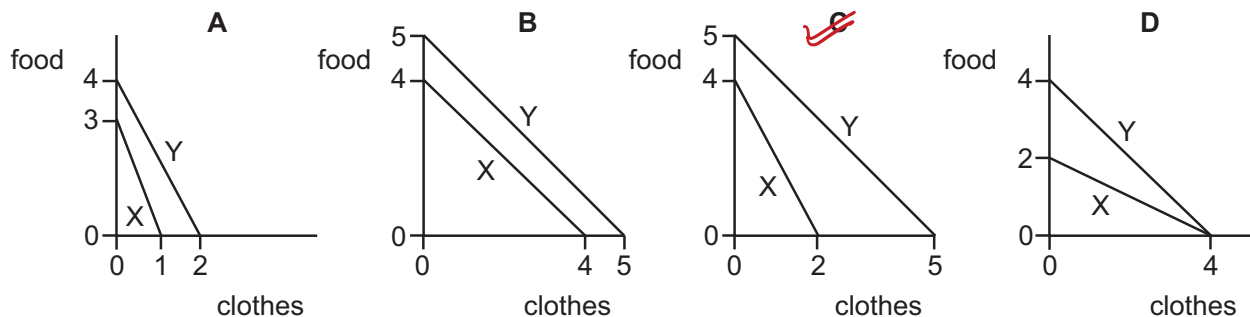
- A 75
- B 83
- ☒ C 120
- D 125

$$\frac{X \text{ prices}}{M \text{ prices}} \times 100 = \frac{150}{125} \times 100 = 120$$

$$\frac{150}{125} \times 100 \Rightarrow 120$$

- 25 Each diagram shows the production possibility curves of two economies, X and Y, which produce food and clothes.

In which diagram would both economies benefit by specialising in the good in which they have comparative advantage and trading at an exchange rate of 1 unit of clothes to 1.5 units of food?



* If exchange rate lies between the opportunity cost ratios of both countries, both will gain
1 clothes : 1.5 food

X C : F

2 : 4

1 : 2

Y C : F

5 : 5

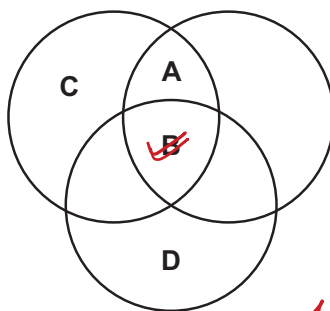
1 : 1

Exchange rate
1 C : 1.5 F

- 26 Four countries, A, B, C and D, trade internationally.

Each circle in the diagram represents a free trade area between the countries within the circle. A country can belong to more than one free trade area. Countries outside of a circle face trade barriers.

Which country has the greatest opportunity to benefit from free international trade?



Country 'B' trades with every country, thus gains the most!

Switching towards domestic

- 27 A small trading country decides on a policy of import substitution by producing for itself.

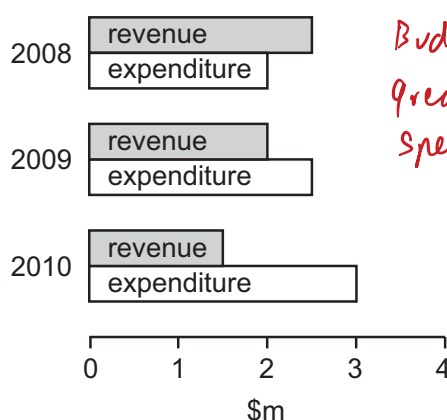
What is the most likely reason for this policy?

- A to follow the principle of absolute advantage [Focus on quantity] (No) Domestic firms protected
- B to influence world prices in international markets (No)
- ☒ C to protect local industries from foreign competition (Yes) (infant, declining and strategic)
- D to substitute imported machines for local labour (No) (Worsen the productivity)

- 28 The diagram shows a government's revenue and expenditure for three years. (Budget)

Budget is the difference between government spending and tax revenue.

Budget deficit :- Government Spending greater than tax revenue



Budget surplus :- Tax revenue greater than government spending.

What can be concluded from the diagram?

- A A budget deficit was replaced by a budget surplus. (Deficit increased)
- ☒ B A government borrowing requirement emerged. (Yes) (Deficit was greater than Tax revenue)
- C The economy moved from a recession into a boom period. (No) (GDP, ADP, growth)
- D The yield from taxation continuously increased. (No) (It reduces)

payments received $\uparrow$ (Appropriate)

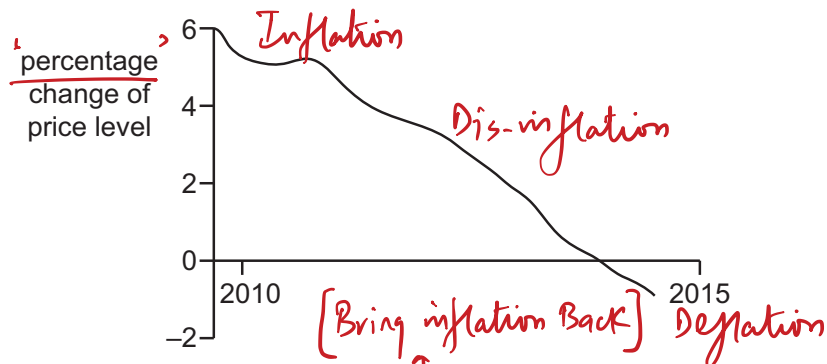
12 $\uparrow$

29 A country with a fixed exchange rate has a current account surplus on its balance of payments.

What is most likely to reduce this surplus?

- A higher interest rates (Demand for currency $\uparrow$, Supply of currency $\downarrow$) (Appropriate)
- ☒ B higher investment spending (More payments made) [Supply of currency $\uparrow$] (Depreciate)
- C higher tariffs (Less imports, less payments, Supply of currency $\downarrow$) (Appropriate)
- D higher taxes (Tax $\uparrow$, Less disposable, C $\downarrow$, imports $\downarrow$, Supply of currency $\downarrow$) (Appropriate)

30 In recent years an economy has experienced changes in its price level as shown.



Which government policy is most effective in reversing the trend shown in the price level?

- A encourage firms to expand production through tax incentives [AST, prices $\downarrow$]
- B introduce an incomes policy to directly control wage increases [cost $\downarrow$, AST, prices $\downarrow$]
- C promote household savings by issuing savings bonds [C $\downarrow$, AD $\downarrow$, Deflation]
- ☒ D reduce interest rates and increase money supply

Option D :-

MS $\uparrow$

R $\downarrow$ $\rightarrow$ ER $\downarrow$

C $\uparrow$, I $\uparrow$ Depreciate

AD $\uparrow$ X (TR) $\uparrow$, M (TE) $\downarrow$

prices $\uparrow$ Surplus

AD $\uparrow$

prices $\uparrow$

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